



FTN COCOA PROCESSORS PLC

**REPORTS AND UNAUDITED INTERIM FINANCIAL STATEMENTS FOR
THE SIX MONTHS (HALF-YEAR) ENDED 30 JUNE 2026**

TABLE OF CONTENT

CONTENTS PAGE

Corporate information	1
Results at a glance	2
Certification pursuant to section 60	3
Statement of Financial Position	4
Statement of Comprehensive Income	5
Statement of Changes in Equity	6
Statement of Cash Flows	7
Notes to the Financial Statements	8
Free float Status	31

FTN COCOA PROCESSORS PLC CORPORATE INFORMATION

- Directors:** Otunba Wale Jubril - Acting Chairman
Pastor Akin Laoye - Managing Director
Nathaniel Durant Jr.
Titilayo Ayoka Aderonmu
- Company Secretaries:** Alpha-Genasec Limited, Kresta Laurel Complex, 376, Ikorodu Road, Maryland, Lagos.
Tel. 234-7035051231
E-mail: alphagenasec@bakertillynigeria.com
- Registered Office:** 21, Emmanuel Keshi Street, Oladipo Sessi Close, Magodo, GRA, Lagos.
Tel. 234-1-7409651
Website: www.ftncocoa.com.ng, E-mail: info@ftncocoa.com.ng
- Registration Number:** RC 172292
- Factory Address:** Km 9, Monatan- Iwo Road, Opposite Arcedem, Wofun Olodo, Ibadan, Oyo State.
Tel. 234-2-7404744
- Independent Auditors:** Bakertilly Nigeria, (Chartered Accountants),
Kresta Laurel Complex (4th Floor), 376, Ikorodu Road, Maryland, Lagos.
Tel. 234-9031613983
E-mail: btnlag@bakertillynigeria.com
- Registrars:** Meristem Registrars,
213, Herbert Macaulay Street, Yaba, Lagos.
Tel.: 234-1-8920491, 234-1-8920492
E-mail: info@meristemregistrars.com
- Bankers:** Ecobank Nigeria Limited
Guaranty Trust Bank Limited
Zenith Bank Plc
United Bank for Africa Plc

FTN COCOA PROCESSORS PLC RESULTS AT A GLANCE

For the period	6 Months June-2026 N'000	6 Months June-2025 N'000	Change N'000	Percentage Change (%)
Revenue	4,134,532	1,809,076	2,325,456	128.54
Profit/Loss before taxation	657,662	(1,137,667)	1,795,329	(157.81)
Taxation	-	-	-	-
Profit/Loss after taxation	657,662	(1,137,667)	1,795,329	(157.81)
Profit/Loss per share	N 0.17k	(N 0.29k)	0.46	(157.81)

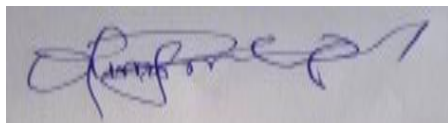
For the period	June-2026 N'000	Dec-2025 N'000	Change N'000	Percentage Change (%)
Property, Plant and Equipment	15,146,971	15,513,485	(366,514)	(2.36)
Total Assets	23,588,107	24,135,154	(547,047)	(2.27)
Total Liabilities	22,804,456	23,713,371	(908,915)	(3.83)
Share Capital	1,950,000	1,950,000	-	-
Revaluation Reserve	14,266,309	14,266,309	-	-
Equity	783,652	421,783	361,869	85.80

	Number	Number		
Number of Employees	59	39	-	-
	====	====		

FTN COCOA PROCESSORS PLC
CERTIFICATION PURSUANT TO SECTION 60(2) OF
INVESTMENT AND SECURITIES ACT NO.29 OF 2007

We the undersigned hereby certify the following with regards to our unaudited reports and financial statements for the half year ended 30 June, 2026 that:

- (a) We have reviewed the report;
- (b) To the best of our knowledge, the report does not contain:
 - (i) any untrue statement of a material fact, or
 - (ii) omit to state a material fact, which would make the statements, misleading in the light of circumstances under which such statements were made;
- (c) To the best of our knowledge, the financial statements and other financial information included in the report fairly present in all material respects the financial condition and results of operation of the company as of, and for the periods presented in the report;
- (d) We:
 - (i) are responsible for establishing and maintaining internal controls;
 - (ii) have designed such internal controls to ensure that material information relating to the company and its consolidated subsidiaries is made known to such officers by others within those entities particularly during the period in which the periodic reports are being prepared;
 - (iii) have evaluated the effectiveness of the company's internal controls as of date within 90 days prior to the report;
 - (iv) have presented in the report our conclusions about the effectiveness of our internal controls based on our evaluation as of that date;
- (e) We have disclosed to the auditors of the company and audit committee:
 - (i) all significant deficiency in the design or operation of internal controls which would adversely affect the company's ability to record, process, summarize and report financial data and have identified for the company's auditors any material weakness in internal controls; and
 - (ii) any fraud, whether or not material, that involves management or other employees who have significant role in the company's internal controls;
- (f) We have identified in the report whether or not there were significant changes in internal controls or other factors that could significantly affect internal controls subsequent to the date of our evaluation, including any corrective actions with regard to significant deficiencies and material weaknesses.



.....
Mr. Mayowa Jimoh
FRC/2022/PRO/ICAN/001/00000024076
Chief Finance Officer

21 July, 2026



.....
Pastor Akin Laoye
FRC/2021/003/00000023888
Chief Executive Office

21 July, 2026

FTN COCOA PROCESSORS PLC

STATEMENT OF FINANCIAL POSITION AS AT 30 JUNE 2026

		June-2026	Dec-2025
		₦'000	₦'000
Non-Current Assets	Note		
Property, Plant and Equipment	5	15,146,971	15,513,485
Available for Sale Financial Assets	6	300	300
Other Receivables	7.2	<u>1,106,115</u>	<u>1,106,115</u>
Total Non-Current Assets		16,253,385	16,619,900
Current assets		-----	-----
Trade and Other Receivables	7	1,773,866	4,706,992
Inventories	8	2,670,436	1,037,698
Deferred Tax	13	1,148,353	1,148,353
Cash and Cash Equivalents	9	<u>1,742,068</u>	<u>622,211</u>
Total Current Assets		7,334,722	7,515,254
Total Assets		23,588,107	24,135,154
		=====	=====
Non-Current Liabilities			
Borrowings	10.1	<u>22,418,268</u>	<u>23,212,033</u>
Total Non-Current Liabilities		22,418,268	23,212,033
		-----	-----
Current Liabilities			
Borrowings	10.2	-	-
Trade and Other Payables	11	386,188	501,338
Current Taxation	12.2		
Total Current Liabilities		386,188	501,338
		-----	-----
Total Liabilities		22,804,456	23,212,033
		=====	=====
Equity:			
Share Capital	14	1,950,000	1,950,000
Share Premium	15	1,045,577	1,045,577
Revaluation Reserve	16	14,266,309	14,266,309
Revenue Reserve	17	<u>(16,478,234)</u>	<u>(16,840,103)</u>
Total Equity		783,652	421,783
		-----	-----
Total Liabilities and Equity		23,588,107	24,135,154
		=====	=====

The financial statements were approved by the Board of Directors on --- June, 2026 and signed on its behalf by:

High Chief (Sir) Simeon O. Oguntimehin OON
Chairman
FRC/2013/ICAN/00000003428

Pastor Akin Laoye
Managing Director
FRC/2021/003/00000023888

Olumayowa P Jimoh
Chief Finance Officer
FRC/2022/PRO/ICAN/001/00000024076

⁶ The accounting policies and notes on pages 8 to 30 form an integral part of these financial statement

FTN COCOA PROCESSORS PLC

STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME FOR THE
HALF-YEAR ENDED 30 JUNE, 2026

	Note	30/06/2026 ₦'000	30/06/2025 ₦'000
Revenue	18	4,134,532	1,809,076
Cost of Sales	19.1	<u>(3,996,617)</u>	<u>(2,028,056)</u>
Gross Profit/Loss		137,915	(218,980)
Selling and Distribution cost	19.2	(45,046)	(8,593)
Operating Expenses	19.3	(242,476)	(305,483)
Allowance for Impairment Loss	19.5	-	-
Other Operating Income	20	124,753	5,358
Exchange Gain/(Loss)	20.1	<u>1,058,597</u>	<u>(380,642)</u>
Operating Profit/Loss		1,033,743	(908,340)
Finance Cost	20.2	(376,081)	(229,327)
 Profit/Loss Before Taxation	 22	 657,662	 (1,137,667)
Current Taxation	12.1	=	
Deferred Taxation		-----	-----
Profit/loss after Taxation transferred to Revenue Reserve		<u>657,662</u>	<u>(1,137,667)</u>
<i>Other Comprehensive Income</i>			
Net appreciation on Revaluation of Property, Plant & Equipment	16	-	-
		<u>657,662</u>	<u>(1,137,667)</u>
Profit/loss per Share		0.17k	(₦0.29k)

The accounting policies and notes on pages 8 to 30 form an integral part of these financial statements

FTN COCOA PROCESSORS PLC
STATEMENT OF CHANGES IN EQUITY
FOR THE HALF-YEAR ENDED 30 JUNE, 2026

	Issued share Capital N'000	Share Premium N'000	Fair value Reserve N'000	Hybrid Capital N'000	Retained Earnings N'000	Total Equity N'000
Fund as at January 2026	1,950,000	1,045,577	1,045,577	10,038,089	(26,878,193)	421,782
Revaluation Surplus	-	-	-	-	-	-
Increase in Share Capital	-	-	-	-	-	-
Prior Year Adjustment	-	-	-	-	-	-
Restatement of Foreign Loan	-	-	-	(295,792)	-	(295,792)
Total Comprehensive Income	-	-	-	-	657,662	657,662
Balance as at 30 June 2026	1,950,000	1,045,577	14,266,309	9,742,297	(26,220,531)	783,652
	=====	=====	=====	=====	=====	=====
Fund as at January 2025	1,950,000	1,405,577	14,266,309	12,542,142	(26,359,130)	3,444,898
Revaluation Surplus	-	-	-	-	-	-
Increase in Share Capital	-	-	-	-	-	-
Equity Statement of Convertible Loan	-	-	-	(2,504,053)	-	(2,504,053)
Prior year adjustment	-	-	-	-	(245,666)	(245,666)
Total Comprehensive Income for the Year	-	-	-	-	-	-
	-	-	-	-	(273,397)	(273,397)
Balance as at 31 Dec. 2025	1,950,000	1,045,577	14,266,309	10,038,089	(26,878,193)	421,782
	=====	=====	=====	=====	=====	=====

FTN COCOA PROCESSORS PLC

STATEMENT OF CASH FLOWS FOR THE HALF-YEAR ENDED 30 JUNE, 2026

	Note	June-2026 N'000	June-2025 N'000	Dec-2025 N'000
Cash Flows from Operating Activities				
Operating Loss before Working Capital Changes	22	379,341	(145,264)	(694,667)
Income Tax Paid		-	-	(24,048)
Working Capital Changes	23	1,185,239	426,925	(3,129,125)
		<u>1,564,580</u>	<u>281,661</u>	<u>(3,847,840)</u>
Cash flows from Investing Activities				
Purchase of Property, Plant and Equipment		(37,681)	(40,321)	(75,343)
Interest Received		(376,081)	(229,327)	(578,118)
Revaluation Surplus		-	-	
Proceeds from Disposal		<u>-</u>	<u>-</u>	<u>6,718</u>
Net cash (utilized)/generated Investing Activities		<u>(413,762)</u>	<u>(269,648)</u>	<u>(646,713)</u>
Cash flows from Financing Activities				
Borrowing		(793,765)	2,959,584	5,700,121
Share Increase		-	-	-
Capital Reserve	22.1	<u>762,805</u>	<u>(3,040,120)</u>	<u>(659,718)</u>
Net Cash generated from Financing Activities		<u>(30,960)</u>	<u>(80,836)</u>	<u>5,040,403</u>
Net decrease in Cash and Cash Equivalents		<u>1,119,858</u>	<u>(68,526)</u>	<u>545,820</u>
Cash and Cash Equivalents at beginning of year		<u>622,211</u>	<u>76,391</u>	<u>76,391</u>
Cash and Cash Equivalents at end of year	9	<u><u>1,742,069</u></u>	<u><u>7,865</u></u>	<u><u>622,211</u></u>

The accounting policies and notes on pages 8 to 30 form an integral part of these financial statements

NOTES TO THE FINANCIAL STATEMENTS
FOR THE HALF YEAR ENDED 30 JUNE, 2026

1. General Information

FTN Cocoa Processors Plc was incorporated on 26 August 1991 in Nigeria as a private Company limited by shares under the name Fantastic Abiola Nigeria Limited which later became Fantastic Traders Nigeria Limited on 26 August, 1998. The Company became a public limited liability Company on 29 February, 2008 and got listed on the Nigeria Stock Exchange. The principal activities of the Company are the processing of cocoa beans and palmkernel into cocoa cake, liquor, butter, palm kernel oil and palm kernel cake for export and sales to local manufacturing companies.

2. Statement of Compliance

The financial statement has been prepared in accordance with International Financial Reporting Standards (IFRS) as issued by the International Accounting Standards Board (IASB) with the Interpretations issued by the International Financial Reporting Interpretations Committee (IFRIC).

3. Significant Accounting Policies

The principal accounting policies adopted in the preparation of the Company's financial statements are set out below.

3.1 Basis of preparation of the financial statements

i. Basis of Measurement

The accounts have been prepared on an accrual basis and under the historical cost convention except for available for certain financial instruments which are measured at fair value.

These financial statements are presented in Nigerian Naira (₦), which is the Company's functional currency. All financial information presented in Naira has been rounded to the nearest thousand unless otherwise stated.

ii. Use of Estimates and Judgements

The preparation of financial statements requires management to exercise judgement and to make estimates and assumptions that affect the application of policies, reported amounts of revenues, expenses, assets and liabilities and disclosures. These estimates and associated assumptions are based on historical experience and various other factors that are believed to be reasonable under the circumstances. Actual results may differ from these estimates. The estimates and underlying assumptions are reviewed on an ongoing basis and revisions to accounting estimates are recognized in the period in which the estimate is revised if the revision affects only that period or in the period of the revision and future periods if the revision affects both current and future periods.

3.2 Foreign Currency

i. *Foreign Currency Translation*

The Company's transactions in foreign currency are translated to its functional currency for inclusion in the financial statements. Functional currency is the currency of the primary economic environment in which the entity operates. For FTN Cocoa Processors Plc the functional currency is the Nigerian Naira which is also its presentation currency.

ii. *Foreign Currency Transactions*

- Foreign currency transactions are recorded on initial recognition in the functional currency, by applying to the foreign currency amount the spot exchange rate between the functional currency and the foreign currency at the date of the transaction.
- Foreign currency monetary items are translated using the closing rate. Non-monetary items that are measured in terms of historical cost in a foreign currency are translated using the exchange rate at the date of the transaction.

iii. *Exchange Differences*

- Exchange differences arising on the settlement of monetary items or on translating monetary items at rates different from those at which they were translated on initial recognition during the period or in previous financial statements are recognized in profit or loss within 'finance income or cost' except where translation reserve is required it is then recognized in other comprehensive income.

3.3 *Property, plant and equipment*

The Company uses the cost model for property, plant and equipment. All property, plant and equipment are stated at cost less accumulated depreciation and impairments.

Cost includes

- The purchase price, including import duties, and non-refundable purchase taxes, after deducting trade discounts and rebates.
- Any costs directly attributable to bringing the asset to the location and condition necessary for it to be capable of operating in the manner intended by management including costs associated with site preparation.

Subsequent costs

- The costs of replacing part of an item of property, plant and equipment are recognized in the asset's carrying amount, only when it is probable that future economic benefits associated with the item will flow to the Company and the cost of the item can be measured reliably.
- All repairs and maintenance costs are charged to the income statement during the financial period in which they are incurred

ii. Depreciation

Depreciation on property, plant and equipment is calculated on the straight-line basis to write-off the costs of components that have homogenous useful lives to their residual values over their estimated useful lives.

Depreciation begins when an asset is available for use and ceases at the earlier of the date that the asset is derecognized or classified as held for sale in accordance with IFRS 5 Non-current Assets Held for Sale and Discontinued Operations.

Land is not depreciated. Depreciation on other assets is calculated using the straight-line method to allocate their cost or revalued amounts to their residual values over their estimated useful lives.

Buildings	2%	50 years
Office Equipment	10%	10 years
Plant and machinery	5%	20 years
Motor vehicles	20%	5 years
Furniture and fittings	10%	10 years

The asset's residual values and useful lives are reviewed and adjusted if appropriate at the end of each reporting period.

An asset's carrying amount is written down immediately to its recoverable amount if the asset's carrying amount is greater than its estimated recoverable amount.

iii. De-recognition

An item of property, plant and equipment is de-recognized on disposal or when no future economic benefit is expected to flow to the Company from its continuing use. Any gain or loss arising from de-recognition of an asset (calculated as the difference between the net disposal proceeds and the carrying amount of the assets) is recognized in the income statement, in the year the asset is de-recognized.

3.4 Intangible Assets

i. Acquired Computer Software

Software acquired by the Company is stated at cost less accumulated amortization and accumulated impairment losses. Amortization is recognized on a straight-line basis over the estimated useful life of the computer software, the estimated useful life and amortization is reviewed at the end of each reporting period, with the effect of any changes being accounted for on a prospective basis. Acquired computer software is amortized over a three (3) year period.

Acquired computer software is de-recognized when no future economic benefit is expected from its use.

3.5 Inventories

These are measured at the lower of cost and net realizable value. The net realizable value is the amount the inventories are expected to realize less the estimated costs of completion and selling expenses. The estimates of net realizable value are based on the most reliable evidence available at the time the estimates are made, of the amount the inventories are expected to realize.

The cost of inventories shall comprise all costs of purchase, costs of conversion and other costs incurred in bringing the inventories to their present location and condition. The cost of inventories is determined using the weighted average cost formula. Any write down or reversals are recognized in the profit or loss account.

i Raw materials

These are measured using the weighted average cost formula. It comprises of the purchase price and all other cost incurred that are necessary to bring it to its present location and condition. Raw materials are sourced locally and internationally.

ii. Spare parts

These are stated at their purchase price and are generally expensed. However, where they are used specifically for the enhancement of an equipment or machinery it is capitalized.

iii. Finished Goods and Work-in-progress

These are measured at production cost based on weighted average cost taking into account the stage of production. It includes an apportionment of the factory production overheads incurred based on the normal operating capacity.

3.6 Revenue

Revenue represents amounts received and receivable from third parties for goods supplied to customers. It is recognized in the profit and loss account when the amount of revenue can be measured reliably, the significant risk and rewards are transferred to the buyer, recovery of the consideration is probable and the associated cost and possible return of products can be reliably estimated and there is no management involvement in the product. Revenue is derived from export and local sales of cocoa cake, liquor, cocoa powder, palm kernel oil, butter and palm kernel cake.

i. Export Sales

Revenue is recognized on exported goods in the income statement when the significant risk and rewards of ownership of the goods has been transferred to the buyer and this is mainly upon shipment. This is also when the final invoice and bill of lading is raised. Export sales are measured at the agreed price based on current market situation.

ii. Local Sales

Revenue on local sales is recognized in the income statement upon delivery of the goods to

the buyer's warehouse. This is when the significant risk and rewards of ownership on the goods are transferred to the buyer. It is measured at the fair value of consideration received or receivable net of VAT, excise duties, returns, customer discounts and other sales related discounts.

iii. Other Income

Other income comprises grants on export (Export expansion grant receivable from the Federal Government as a rebate on export costs), interest income, dividend received, bad debt recovered, exchange gain and others.

➤ Export Expansion Grant

Export expansion grants are grants receivable from the Federal Government of Nigeria through the Nigerian Export Promotion Council. The grant is backed by the Export (incentives and miscellaneous provisions) Act to encourage companies engaged in exportation of locally manufactured products by reducing the cost borne by local producers/non-oil exporters through giving a rebate of 30% on goods exported. It is recognized as an income in the period in which the export is made. The export grant is not given in monetary value but as certificate known as the Export Credit Certificate (ECC).

A Company is entitled to receive the export expansion grant only if it has fulfilled the relevant conditions and has made necessary application to the Nigerian Export Promotion Council. The certificate on the average is issued on submission of necessary export documents.

Export expansion grants are initially recognized at fair value and subsequently discounted at the point of sale.

➤ Dividend and Interest Income

Dividend income from investments is recognized only when shareholders right to receive payment has been established and the amount of income can be reliably measured. Interest income from a financial asset is recognized when it is probable that economic benefits will flow to the Company and the amount of income can be reliably measured. Interest income is accrued on a time basis with reference to the principal outstanding and the effective interest rates applicable.

3.7 Borrowing Cost

Borrowing costs that are directly attributable to the acquisition, construction or production of a qualifying asset are capitalized. Other borrowing costs are recognized as an expense. Borrowing costs are interest and other costs that an entity incurs in connection with the borrowing of funds.

A qualifying asset is an asset that necessarily takes a substantial period of time to get ready for its intended use or sale.

3.8 Income Tax Expense

Income tax expense comprises current tax and deferred tax. Income tax expense is recognized in the income statement except to the extent that it relates to items recognized directly in equity, in which case it is recognized in equity or in other comprehensive income. Current income tax is the estimated income tax payable on taxable income for the year, using tax rates enacted or substantively enacted at the balance sheet date, and any adjustment to tax payable in respect of previous years.

Deferred tax assets and liabilities are recognized where the carrying amount differs from the tax base of the assets. Deferred taxes are recognized using the balance sheet liability method providing for temporary differences between the carrying amounts of assets and liabilities for financial reporting purposes and the amounts used for taxation purposes (tax bases of the assets and liability). The amount of deferred tax provided is based on the expected manner of realization or settlement of the carrying amount of assets and liabilities using tax rates enacted or substantively enacted by the reporting date.

A deferred tax asset is recognized only to the extent that it is probable that future taxable profits will be available against which the asset can be utilized. Deferred tax assets are reviewed at each reporting date and are reduced to the extent that it is no longer probable that the related tax benefit will be realized.

3.9 Provisions, Contingent Liabilities and Contingent Assets

i. Provisions

Provisions are recognized when there is a present obligation, whether legal or constructive, as a result of a past event for which it is probable that a transfer of economic benefits will be required to settle the obligation and a reliable estimate can be made of the amount of the obligation. Such provisions are calculated on a discounted basis where the effect is material to the original undiscounted provision. The Company reviews provisions existing at the end of each reporting period and makes appropriate adjustment to reflect the current best estimate. If it is no longer probable that an outflow of resources embodying economic benefits will be required to settle the obligation, the provision is reversed.

ii. Contingent Liability

A contingent liability is disclosed, unless the possibility of an outflow of resources embodying economic benefits is remote. Where the Company is jointly and severally liable for an obligation, the part of the obligation that is expected to be met by other parties is treated as a contingent liability. The entity recognizes a provision for the part of the obligation for which an outflow of resources embodying economic benefits is probable, except in the extremely rare circumstances where no reliable estimate can be made. Contingent liabilities are assessed continually to determine whether an outflow of resources embodying economic benefits has become probable. If it becomes probable that an outflow of future economic benefits will be required for an item previously dealt with as a contingent liability, a provision is recognized in the financial statements of the period in which the change in probability occurs except in the extremely rare circumstances where no reliable estimate can be made.

iii. Contingent Assets

Contingent assets arising from unplanned or other unexpected events giving rise to the possibility of an inflow of economic benefits are disclosed in the financial statements. Contingent assets are assessed continually to ensure that developments are appropriately reflected in the financial statements. If it has become virtually certain that an inflow of economic benefits will arise, the asset and the related income are recognized in the financial statements of the period in which the change occurs. If an inflow of economic benefits has become probable, an entity discloses the contingent asset.

3.10 Financial Assets

Financial Assets and Liabilities Recognition

Recognition

Financial assets are initially recognized at their fair value plus, in the case of financial asset not carried at fair value through profit or loss, directly attributable costs to their acquisition. All other financial assets and liabilities are initially recognized on the trade date at which the Company becomes a party to the contractual provisions of the instrument.

Classification and Measurement

Initial measurement of a financial asset or liability is at fair value plus transaction costs that are directly attributable to its purchase or issuance. For instruments measured at fair value through profit or loss, transaction costs are recognized immediately in profit or loss.

Financial assets are classified into one of the following measurement categories:

- Amortized cost
- Fair Value through Other Comprehensive Income (FVOCI)
- Fair Value through Profit or Loss (FVTPL) for trading related assets
- Equity Instruments

The Company classifies all of its financial assets based on the business model for managing the assets and the asset's contractual cash flow characteristics.

a) Financial assets measured at amortized cost

Financial assets are measured at amortized cost if they are held within a business model whose objective is to hold for collection of contractual cash flows. After initial measurement, debt instruments in this category are carried at amortized cost using the effective interest rate method. Amortized cost is calculated considering any discount or premium on acquisition, transaction costs and fees that are an integral part of the effective interest rate. Amortization is included in Interest income in the Statement of Income. Impairment on financial assets measured at amortized cost is calculated using the expected credit loss approach. Loans measured at amortized cost are presented net of the allowance for credit losses (ACL) in the statement of financial position.

b) Financial Assets measured at FVOCI

Financial assets are measured at FVOCI if they are held within a business model whose objective is to hold for collection of contractual cash flows and for selling financial assets. Subsequent to initial

recognition, unrealized gains and losses on debt instruments measured at FVOCI are recorded in other comprehensive Income (OCI). Upon de-recognition, realized gains and losses are reclassified from OCI and recorded in Other Income in the Statement of Income. Premiums, discounts and related transaction costs are amortized over the expected life of the instrument to Interest income in the Statement of Income using the effective interest rate method. Impairment on financial assets measured at FVOCI is calculated using the expected credit loss approach.

c) Financial Assets measured at FVTPL

Debt instruments measured at FVTPL include assets held for trading purposes, assets held as part of a portfolio managed on a fair value basis and assets whose cash flows do not represent payments that are solely for business transaction. Financial assets may also be designated at FVTPL if by so doing eliminates or significantly reduces an accounting mismatch which would otherwise arise. These instruments are measured at fair value in the Statement of Financial Position, with transaction costs recognized immediately in the Statement of Income as part of Other Income. Realized and unrealized gains and losses are recognized as part of Other Income in the Statement of Income.

d) Equity Instruments

Equity instruments are instruments that meet the definition of equity from the issuer's perspective; that is, any contract that evidences a residual interest in the issuer's net assets. Equity instruments are measured at FVTPL, unless an election is made to designate them at FVOCI upon purchase. For equity instruments measured at FVTPL, changes in fair value are recognized as part of Other Income in the Statement of Income.

The Company can elect to classify non-trading equity instruments at FVOCI. This election will be used for certain equity investments for strategic or longer-term investment purposes. The FVOCI election is made upon initial recognition, on an instrument-by-instrument basis and once made is irrevocable. Gains and losses on these instruments including when derecognized/sold are recorded in OCI and are not subsequently reclassified to the Statement of Income. Dividends received are recorded in other income in the Statement of Income. Any transaction costs incurred upon purchase of the security are added to the cost basis of the security and are not reclassified to the Statement of Income on sale of the security. Transaction cost on disposal of equity instruments is recognized as an expense in the income statement.

Financial liabilities are classified into one of the following measurement categories:

- Amortized cost
- Fair Value through Profit or Loss (FVTPL)

e) Financial Liabilities at Amortized Cost

Financial liabilities that are not classified at fair value through profit or loss fall into this category and are measured at Amortized cost using the effective interest rate method. Financial liabilities measured at Amortized cost are loans and other borrowed funds

f) Financial Liabilities at fair value through profit or loss

Financial liabilities accounted for at fair value through profit or loss fall into two categories: financial liabilities held for trading and financial liabilities designated at fair value through profit or loss on inception. Financial liabilities at fair value through profit or loss are financial liabilities held for trading. A financial liability is classified as held for trading if it is incurred principally for the purpose of repurchasing it in the near term or if it is part of a portfolio of identified financial instruments that are managed together and for which there is evidence of a recent actual pattern of short-term profit-taking. Gains and losses arising from changes in fair value of financial liabilities classified as held

for trading are included in the income statement and are reported as 'Net gains/(losses) on financial instruments classified as held for trading'. Interest expenses on financial liabilities held for trading are included in 'Net interest income'. Financial Liabilities are designated at FVTPL when either the designation eliminates or significantly reduces an accounting mismatch which would otherwise arise, or the financial liability contains one or more embedded derivatives which significantly modify the cash flows otherwise required. For liabilities designated at fair value through profit or loss, all changes in fair value are recognized in Other Income in the Statement of Income, except for changes in fair value arising from changes in the Company's own credit risk which are recognized in OCI. Changes in fair value of liabilities due to changes in the Company's own credit risk, which are recognized in OCI, are not subsequently reclassified to the Statement of Income upon de-recognition/extinguishment of the liabilities.

3.11 Reclassifications

Financial assets are not reclassified subsequent to their initial recognition, except in the period after the Company changes its business model for managing financial assets. A change in the Bank's business model will occur only when the Company either begins or ceases to perform an activity that is significant to its operations such as significant internal restructuring and any other reason that might warrant a change in the Company's business model as determined by management based on facts and circumstances.

The following are not considered to be changes in the business model:

- A change in intention related to particular financial assets (even in circumstances of significant changes in market conditions)
- A temporary disappearance of a particular market for financial assets.
- A transfer of financial assets between parts of the Company with different business models. When reclassification occurs, the Company reclassifies all affected financial assets in accordance with the new business model. Reclassification is applied prospectively from the 'reclassification date'. Reclassification date is 'the first day of the first reporting period following the change in business model. For example, if the company decides to shut down the corporate mortgage business segment, the reclassification date is the first day of the next reporting period.

3.12 Impairment of Financial Assets

In line with IFRS 9, the Company assesses the under listed financial instruments for impairment using Expected Credit Loss (ECL) approach:

- Amortized cost financial assets;
- Debt securities classified as at FVOCI;

Equity instruments and financial assets measured at FVTL are not subjected to impairment under the standard.

Expected Credit Loss Impairment Model

The Company's allowance for credit losses calculations are outputs of models with several underlying assumptions regarding the choice of variable inputs and their interdependencies. The expected credit loss impairment model reflects the present value of all cash shortfalls related to default events either over the following twelve months or over the expected life of a financial instrument depending on credit deterioration from inception. The allowance for credit losses reflects an unbiased, probability-weighted outcome which considers multiple scenarios based on reasonable and supportable forecasts. The Company adopts a three-stage approach for impairment assessment.

Stage 1 – Where there has not been a significant increase in credit risk (SICR) since initial recognition of a financial instrument, an amount equal to 12 months expected credit loss is recorded. The expected credit loss is computed using a probability of default occurring over the next 12 months.

Stage 2 – When a financial instrument experiences a SICR subsequent to origination but is not considered to be in default, it is included in Stage 2. This requires the computation of expected credit loss based on the probability of default over the remaining estimated life of the financial instrument.

Stage 3 – Financial instruments that are considered to be in default are included in this stage. Like Stage 2, the allowance for credit losses captures the lifetime expected credit losses.

Measurement of Expected Credit Losses

The probability of default (PD), exposure at default (EAD), and loss given default (LGD) inputs used to estimate expected credit losses are modelled based on macroeconomic variables that are most closely related with credit losses in the relevant portfolio. Details of these statistical parameters/inputs are as follows:

Probability of Default – The probability of default is an estimate of the likelihood of default over a given time horizon. A default may only happen at a certain time over the remaining estimated life, if the facility has not been previously derecognized and is still in the portfolio.

- **12-month PDs** – This is the estimated probability of default occurring within the next 12 months (or over the remaining life of the financial instrument if that is less than 12 months). This is used to calculate 12-month ECLs. The Company obtains the constant and relevant coefficients for the various independent variables and computes the outcome by incorporating forward looking macroeconomic variables and computing the forward probability of default.
- **Lifetime PDs** – This is the estimated probability of default occurring over the remaining life of the financial instrument. This is used to calculate lifetime ECLs for ‘stage 2’ and ‘stage 3’ exposures. PDs are limited to the maximum period of exposure required by IFRS 9. Variables and adopts exponentiation method to compute cumulative PD for future time periods for each obligor.

Exposure at Default – The exposure at default is an estimate of the exposure at a future default date, taking into account expected changes in the exposure after the reporting date.

Loss Given Default – The loss given default is an estimate of the loss arising in the case where a default occurs at a given time.

Forward-looking information

IFRS 9 specifies that ECLs should include a forward-looking element which translates into an allowance for changes in macro-economic conditions and forecasts when estimating lifetime ECLs. It is important to understand the effect of forecasted changes in the macro- economic environment on ECLs, so that an appropriate level of provisions can be raised. The most acceptable way of allowing for macro-economic conditions is to build a regression model that aims to explain and predict the impact of macro-economic indicators on default rates. Such regression models are usually built on a history of default rates and macro- economic variables covering at least one economic cycle, but preferable more. Information gathering is based on historical Nigerian macro-economic indicators from a host of reliable sources, including the International Monetary Fund. The following steps were followed in quantifying the impact of macro-economic scenarios on ECLs.

Step 1

Using the statistical methodology of multiple Regression, estimate the relationship between collected historical non-performing loans and on a list of macro-economic indicators.

Step 2

Identify variables that are statistically significant (that is variables that have the most significant predictive power)

Step 3

Forecast macroeconomic forward-looking information for periods over which lifetime PD will be determined

Step 4

Using the equation derived in step one as, significant coefficient obtained in step 2 as well as forecast macroeconomic forward-looking information in step 3, predict the default probability for relevant periods.

Step 5

Determine Scalars for relevant period. In order to remove the impact of any historical trends included in the data, the scalar denominator is adjusted based on the estimation period used to derive the PDs.

Step 6

Apply the scalars calculated in Step 5 to the lifetime PDs as derived. A scalar factor of one means that the probability of default for the forecast year is expected to be in line with historical average probability of default. A scalar factor less than one means that the probability of default for the forecast year is expected to be less than the historical average probability of default. A scalar factor greater than one means that the probability of default for the forecast year is expected to be greater than the historical average probability of default.

Presentation of Allowance for ECL in the Statement of Financial Position

Allowances for ECL are presented in the statement of financial position as follows:

- Financial assets measured at amortized cost: as a deduction from the gross carrying amount of the assets;
- Loan commitments as a provision; and
- Debt instruments measured at FVOCI: no loss allowance is recognized in the statement of financial position because the carrying amount of these assets is their fair value. However, the loss allowance is disclosed and is recognized in the fair value reserve.

Write-off

The Company writes off an impaired financial asset (and the related impairment allowance), either partially or in full, where there is no reasonable expectation of recovery as set out in IFRS 9, paragraph 5.4.4. After a full evaluation of a non-performing exposure, in the event that either one or all of the following conditions apply, such exposure shall be recommended for write-off (either partially or in full):

- continued contact with the customer is impossible;
- recovery cost is expected to be higher than the outstanding debt;
- Where all possible avenues for recoveries have been explored and it is evident that the financial capacity of the borrower makes it impossible to recover part or the whole amount of indebtedness.

All impaired financial asset write-offs shall require endorsement at the appropriate level, as stated in the Company Policy. write-off approval shall be documented in writing and properly initialed by the

approving authority. A write-off constitutes a de-recognition event.

3.13 Offsetting financial Instruments

Financial assets and liabilities are offset and the net amount reported in the statement of financial position when and only when the Company has a legally enforceable right to set off the recognized amounts and there is an intention to settle on a net basis, or to realize the asset and settle the liability simultaneously.

3.14 Prepayments

Prepayments and accrued income comprise payments made in advance relating to the following year.

3.15 Cash and Cash Equivalent

Cash and cash equivalents comprise balances with not more than three months' maturity from the reporting date, including cash in hand, deposits held at call with banks and other short term highly liquid investments with original maturities of three months or less.

3.16 Earnings per share

The Company presents its basic earnings per share (EPS) and diluted earnings on the statement of comprehensive income. Basic EPS is calculated by dividing profit or loss attributable to ordinary equity holders of the entity (the numerator) by the weighted average number of ordinary shares outstanding (the denominator) during the period. Diluted EPS is calculated by adjusting the earnings and number of shares for the effects of dilutive options and other dilutive potential ordinary shares.

3.17 Dividend Distribution

Dividend distribution to the Company's shareholders is recognized as a liability in the financial statements in the period in which the dividend is approved by the Company's shareholders. Dividends for the year that are declared after the date of the financial position are dealt with in the subsequent events note.

3.18 Retirement Benefit Scheme

Defined Contribution Scheme

In line with the provisions of the Nigerian Pension Reform Act 2004, FTN Cocoa Processors Plc has instituted a defined contributory pension scheme for its employees. The scheme is funded by fixed contributions from employees and the Company at the rate of 8% by employees and 10% by the Company of basic salary, transport and housing allowances invested outside the Company through Pension Fund Administrators (PFAs) preferred by employees.

The Company has no legal or constructive obligation to pay further contributions if the fund does not hold sufficient assets to pay all employee benefits relating to employees' service in the current and prior periods.

The matching contributions made by the Company to the relevant PFAs are recognized as expenses when the costs become payable in the reporting periods during which employees have rendered services in exchange for those contributions. The contributions are recognized as employee benefit expense when they become due.

3.19 Share Capital and Reserves

Share issue costs

Incremental costs directly attributable to the issue of an equity instrument are shown in equity as a deduction.

4. Fair Value Estimation

The investments are carried at fair value by valuation method, the different levels have been defined as follow:

Level 1 – Fair value measurements are those derived from quoted prices (unadjusted) in active markets for identical liabilities using the last bid price;

Level 2 – Fair value measurements are those derived from inputs other than quoted prices included within level 1 that are observable for the asset or liability, either directly or indirectly i.e. derived from prices; and

Level 3 – Fair value measurements are those derived from valuation techniques that include inputs for the asset or liability that are not based on observable market data (unobservable inputs).

	Level 1	Level 2	Level 3	Total
Sovereign Insurance	300	-	-	300

5. Property, Plant and Equipment

Cost	Plant & Machinery						Total
	Under construction	Land & building	Plant & Machinery	Motor Vehicles	Furniture & Fittings	Office Equipment	
	N'000	N'000	N'000	N'000	N'000	N'000	N'000
At 1 Jan., 2026	1,211,534	3,465,665	14,457,074	16,255	47,797	101,253	19,299,578
Additions	-	9,349	19,953	-	3,074	5,305	37,681
Revaluation	-	-	-	-	-	-	-
At 30 June, 2026	1,211,534	3,475,014	14,477,027	16,255	50,871	106,558	19,337,259
At 1 Jan., 2025	1,211,534	3,456,356	14,424,091	16,255	31,496	96,730	19,236,461
Additions	-	9,309	45,209	-	16,302	4,523	75,343
Revaluation	-	-	(12,226)	-	-	-	(12,226)
At 31 Dec., 2025	1,211,534	3,465,665	14,457,074	16,255	47,797	101,253	19,299,578
Depreciation							
At 1 Jan., 2026	-	553,495	3,134,795	16,255	29,419	52,129	3,786,093
For the year	-	34,745	361,722	-	2,463	5,265	404,196
Disposals	-	-	-	-	-	-	-
At 30 June., 2026	-	588,240	3,496,517	16,255	31,882	57,394	4,190,289
At 1 Jan., 2025	-	484,355	2,412,373	16,255	25,660	42,154	2,980,797
For the year	-	69,140	723,033	-	3,759	9,975	805,907
Disposals	-	-	-	-	-	-	-
At 31 Dec., 2025	-	553,495	3,134,795	16,255	29,419	52,129	3,786,093

Cost	Plant & Machinery Under construction	Land & building	Plant & Machinery	Motor Vehicles	Furniture & Fittings	Office Equipment	Total
	N'000	N'000	N'000	N'000	N'000	N'000	N'000
Carrying value							
At 30 June 2026	1,211,534	2,886,774	10,980,510	-	18,988	49,164	15,146,971
At 31 Dec., 2025	1,211,534	2,912,170	11,322,279	-	18,378	49,124	15,513,485

5.1 **Depreciation has been charged to profit and loss as follows:**

	June-2026 N'000	June-2025 N'000
Cost of sales	396,468	395,841
Operating expenses	7,228	6,647
	404,196	402,488
6. Available for sale Financial Assets		
Quoted securities (<i>Sovereign Trust Insurance</i>)		
Cost	300	300
Appreciation in quoted securities	300	300
7. Trade and other Receivables		
Trade receivables	1,743,233	700,309
Allowance for impairment	(14,086)	-
	1,729,147	700,309
Other Receivables:		
Export Expansion Grant		
Other Debtors	44,718	4,359
	1,773,865	704,668
7.1 Current		
Trade Receivables	-	700,309
Other Receivables:		
Export expansion grant (NDDC)	-	-
Prepayment	34,628	26,754
Other debtors	10,090	4,360
	44,718	731,423
7.2 Non-Current		
Other Receivables		
Export expansion grant	1,106,115	1,106,115

Export Expansion Grant

The export expansion grant (EEG) is a policy tool used by the Federal republic of Nigeria to facilitate export-oriented activities that will stimulate the growth of the non-oil export sector of the economy. The grant is being backed by the Export (Incentive and Miscellaneous Provision) Act Cap 118 LFN 1990 Cap Act Cap E19 LFN 2020. Application for grants by companies is assessed through the weighted eligibility criteria using the documents supplied by individual companies as baseline for calculation of the export expansion grant. It is calculated at 30% of total exported goods.

Export Credit Certificate (ECC): This is instrument of the government for settling of the EEG receivable. The NDCC is used for the payment of import and excise duties in lieu of cash. In the last two years, the Company and other industry players have not been able to use the certificates in settlement of customs duties.

	June 2026	2025
	₦'000	₦'000
8. Inventories		
Finished goods	1,504,457	497,687
Raw materials	328,869	237,582
Spare parts	221,852	221,400
Work in progress	567,341	32,438
Consumables	47,918	48,591
	<u>2,670,437</u>	<u>1,037,697</u>
	=====	=====
9. Cash and Cash Equivalent		
Cash	2,556	2,682
Cash held with Nigerian banks	<u>1,739,512</u>	<u>619,529</u>
Impairment loss allowance	<u>-</u>	<u>-</u>
	<u>1,742,068</u>	<u>622,211</u>
	=====	=====
For the purpose of the cash flow statements, cash and cash equivalents comprise cash on hand, cash at bank and net of bank overdraft. In the statement of financial position, bank overdrafts are included in borrowings in current liabilities.		
9.1 Movement in impairment allowance on Cash and Cash Equivalent		
Balance as at 1 st January	-	-
IFRS translation adjustment	<u>-</u>	<u>-</u>
	<u>-</u>	<u>-</u>
	=====	=====

10. **Borrowings**

	June-2026	2025
	₦'000	₦'000
10.1 Non-current Borrowings		
Nexim Working Capital	5,000,000	5,000,000
Corporate Bond	4,215,621	4,372,314
OH Ecosystem LLC	7,390,146	7,690,604
O H Origin Global Commodity Inc.	<u>5,812,501</u>	<u>6,149,114</u>
10.2 Current borrowings		
OH Ecosystem LLC	-	-
OH Origin Global Commodity Inc.	-	-
Index Investment Advisor Ltd	<u>-</u>	<u>-</u>
Working capital loan/payables	<u>-</u>	<u>-</u>
Total Borrowings	<u>22,418,268</u>	<u>23,212,033</u>
10.3 The borrowings are repayable as follows:		
Within one year	-	-
Between one and two years	5,000,000	5,000,000
More than three years	<u>17,418,268</u>	<u>18,212,033</u>
	<u>22,418,268</u>	<u>23,212,033</u>

10.4 **Corporate Bond and Convertible loan note**

FTN Cocoa Processors Plc issued an 18-year JPY 500 million 0% coupon Bond in 2008 due August 2026 to Daewoo Securities (Europe) without any option to convert the bond into ordinary shares of FTN Cocoa Processors Plc at maturity.

The proceed from the bond issue received in 2009 was used for the initial expansion of the Company. The bond is a direct, unsubordinated and unsecured obligation of the Company.

The bond has a 4.375% yield to maturity. The deep discount bond of JPY 500 million has been booked rightly in the original currency before conversion into Naira at the ruling exchange rate of ₦8.493/1yen on 30 June, 2026. It is expected to be partly or fully repaid in 2026.

Details of the Company's obligation on the corporate bond as at year end is as follows: -

	June-2026	2025
	₦'000	₦'000
Liability element of deep discount bond at 1 January	4,372,314	4,272,753
Opening balance adjustment	-	-
	169,355	373,467
Interest charge for the year (note 21)	-	-
	4,541,669	4,646,220
Loss on translating monetary items	(326,048)	(273,906)
	4,215,621	4,372,314
Equity element of convertible loan (note 15)	-	-
	4,215,621	4,372,314

10.5 The Naira value has been arrived at using the exchange rate of US\$1 to ₦1,379.1842 however, by the terms of agreement between FTN Cocoa Processors Plc and OH Origins Global Commodities, Inc (lender); the convertible loan of US\$16,636,606.60 will be converted at the spot rate exchange as defined in the convertible loan agreement. The Company's management and Board with the approval of shareholders of the Company planned to increase its share capital to accommodate foreign investors in its bid to resume operation at the optimum capacity and maximize the available opportunities in Nigeria agricultural sector. The table below shows the components of the convertible bond from OH Origin Commodity Global and OH Ecosystems, LLC:

OH ECOSYSTEMS, LLC	\$	₦
Non-Current Liability	5,358,346.19	7,390,146,403.52
Current Liability		
Equity	3,948,802.76	5,446,126,381.07
Total	9,307,148.95	12,836,272,784.59

OH ORIGINS GLOBALCOMMODITIES, Inc	\$	₦
Non-Current Liability	4,214,448.41	5,812,500,650.27
Current Liability		
Equity	3,115,009.24	4,296,171,533.04
Total	7,329,457.65	10,108,672,183.31

11. Trade and other Payables

Advance against sales	-	-
Trade payable – amount due to suppliers	79,459	95,078
Other payables	112,013	150,886
Accrued expenses	194,716	255,374
	386,188	501,337

- 11.1 Trade and other payables principally comprise amounts outstanding for trade purchases and advance against future sales.

12.	Taxation	June-2026	2025
12.1	<i>Profit and loss account</i>	₦'000	₦'000
	Company tax	-	-
	Education tax	-	-
	Minimum tax		-
			-
	Deferred tax		-
		=====	=====
12.2	<i>Balance Sheet</i>		
	At 1 January	-	103,382
	Charge for the year	-	<u>(79,334)</u>
	Tax provision no longer required	-	(79,334)
	Payment during the year		-
	At 31 December		<u>(24,048)</u>
		=====	=====
13.	Deferred Taxation		
	At 1 January	(1,148,353)	-
	For the year		<u>(1,148,353)</u>
	At 31 December	<u>(1,148,353)</u>	<u>(1,148,353)</u>
		=====	=====
14.	Share Capital		
	<i>Authorized Share Capital</i>		
	5,000,000,000 ordinary shares of 50k	2,500,000	2,500,000
	Increase in share		
	5,000,000,000 ordinary shares of 50k	2,500,000	2,500,000
	<i>Issued and fully paid share capital</i>	=====	=====
	3,900,000,000 ordinary shares of 50k	1,950,000	1,950,000
	Increase in share capital	-	-
	3,900,000,000 ordinary shares of 50k	<u>1,950,000</u>	<u>1,950,000</u>
		=====	=====
15.	Share Premium		
	Share premium	1,045,577	1,045,577
	Equity Element of Loan		
	Increase in Share Capital Expenses	-	-
		<u>1,045,577</u>	<u>1,045,577</u>
		=====	=====
16.	Revaluation Reserve		
	At 1 January	14,266,309	14,266,309
	Statement of comprehensive income (Revaluation)	-	-
		<u>14,266,309</u>	<u>14,266,309</u>
		=====	=====

		30/06/2026	31/12/2025
		₦'000	₦'000
17	Revenue Reserve		
	At 1 January	(16,840,104)	(13,816,988)
	Restatement OH Origins Global Commodities, Inc	(74,372)	(1,530,163)
	OH Ecosystems, LLC	(221,420)	(973,890)
	Stock Adjustment	-	-
	Restatement of Corporate bond	-	-
	Retained Earnings	-	(245,666)
	Statement of Comprehensive Income	<u>657,662</u>	<u>(273,397)</u>
		<u>(16,478,234)</u>	<u>(16,840,104)</u>

		30/06/2026	30/06/2025
18.	Revenue		
	Export sales:		
	Cocoa Butter	1,947,138	1,537,930
	Cocoa Powder	<u>80,469</u>	<u>-</u>
		2,027,607	1,537,930
	Local sales:		
	Cocoa Cake	4,065	-
	Cocoa Butter	5,410	-
	Cocoa Powder	2,027,450	271,147
	Cocoa Liquor	-	-
		<u>4,134,532</u>	<u>1,809,076</u>

19.	Expenses by Nature		
19.1	Cost of sales		
	Included in cost of sales are as follows: -		
	Change in inventories of finished goods		-
	Raw materials	3,171,493	1,503,198
	Other prime cost		
	Personnel expenses	84,992	23,480
	Industrial training funds expenses		-
	Depreciation of PPE	396,468	395,841
	Repairs & maintenance-factory building & PM	50,593	15,400
	Stock adjustment		-
	Other direct cost	<u>293,071</u>	<u>90,139</u>
		<u>3,996,617</u>	<u>2,028,057</u>

19.2	Selling and Distribution Costs	2026	2025
	Included in selling and distribution cost are as follows:	<u>45,046</u>	<u>8,593</u>

19.3 Operating Expenses*Included in operating expenses are as follows: -*

	30/06/2026	30/06/2025
	₦'000	₦'000
Bank and other charges	2,345	22,336
Director's remuneration	32,789	14,729
Employee benefit expenses (note 19.4)	56,151	70,402
Legal & Professional fee	19,320	31,206
Depreciation (note 5.1)	7,728	6,647
Travelling expenses	9,946	3,493
Office and general expenses	34,632	31,314
Insurance	20,406	1,253
AGM expenses	-	-
Directors fee	-	10,500
Fuel and oil	974	1,978
Telephone, telex and postages	2,674	2,332
Entertainment	2,311	19,696
Subscription & Donations	6,076	6,326
Security expenses	14,584	160
Audit & Accountancy fee	1,175	500
Rent and rates and taxes	13,393	10,795
Repairs and maintenance	5,114	830
Industrial Training Fund	350	131
Printing stationery	420	356
Computer expenses/supplies	4,561	421
Penalties	-	-
Electricity power and water	<u>7,527</u>	<u>20,056</u>
	<u>242,476</u>	<u>305,483</u>
	=====	=====

19.4 Employee Benefit Expenses

Staff salaries and allowances	39,690	13,482
Staff welfare and medical expenses	11,711	53,362
Pension employers' contribution	<u>4,750</u>	<u>3,558</u>
	<u>56,151</u>	<u>70,402</u>
	=====	=====

19.5 Expected Credit Loss

Cash and cash equivalent	-	-
Trade receivables	=	=
	-	-
	=====	=====

19.6 The average number of persons employed by the Company, including Directors, during the year was as follows:

Management	7	6
Senior	17	14
Junior	11	10
Contract	<u>24</u>	<u>8</u>
	<u>59</u>	<u>38</u>
	=====	=====

	30/06/2026	30/06/2025
	Number	Number
19.7 Employee range of remuneration is as follows: -		
Below – ₦150,000		
₦150,001 – ₦240,000	-	32
₦240,001 – ₦480,000	-	3
₦480,001 – ₦720,000	-	1
₦720,001 – ₦960,000	-	1
₦960,001 – ₦1,200,000	6	-
₦1,200,001 and above	<u>53</u>	<u>1</u>
	59	38
	=====	=====
20. Other Operating Income		
Export Expansion Grant	-	-
Other sundry income (Scraps)	47,469	5,358
Cocoa Value Addition	77,284	-
Interest income	-	-
	<u>124,753</u>	<u>5,358</u>
	=====	=====
20.1 Other Operating Income		
Unrealized Foreign Exchange gain	<u>1,058,597</u>	-
	=====	=====
20.2 Finance cost		
<i>Interest Expenses:</i>		
Borrowing	206,726	-
Interest on Liability Portion of Corporate Bond	<u>169,355</u>	<u>229,327</u>
	376,081	229,327
	=====	=====
21. Loss before Taxation		
<i>This is arrived at after charging/ (crediting):</i>		
Depreciation on PPE (note 5.1)	404,196	402,488
Interest expenses		
Audit fee	1,175	500
Non - Audit fee	-	-
	=====	=====
22. Reconciliation of profit after taxation to net cash provided by operating activities:		
Loss before taxation	657,662	(1,137,667)
Adjustment for non-cash operating items:		
Depreciation	404,196	402,489
Interest expense	376,081	229,327
Exchange gain	<u>(1,058,597)</u>	<u>380,642</u>
	379,341	(125,208)
	=====	=====
22.1 Revenue Reserve Movement		
OH Origin Global Commodity	74,372	(62,012)
OH Ecosystems, LLC	221,420	1,997,590
Retained Earnings	-	245,666
Foreign Exchange Gain/(loss)	<u>(1,058,597)</u>	<u>380,642</u>
	<u>(762,805)</u>	<u>2,561,886</u>

23.	Working Capital Changes	30/06/2026	30/06/2025
		₦'000	₦'000
	(Increase)/decrease in inventories	(1,632,738)	(1,045,494)
	Decrease/ (Increase) in receivables	2,933,126	1,446,954
	Increase/(decrease) in trade and other payable	(115,150)	17,039
	Increase/(decrease) in inventory valuation	-	(11,630)
	Increase/(decrease) in short term borrowings	-	
		<u>1,185,239</u>	<u>406,869</u>
		=====	=====

Shareholding Structure/Free Float Status

Description	30-June-26		31-Dec-25	
	Unit	%	Unit	%
Issued Share Capital	3,900,000,000	100%	3,900,000,000	100%
Substantial Shareholdings (5% and above)				
OH Origins Commodity Group LLC	1,700,000,000	43.59%	1,700,000,000	43.59%
Aderonmu Abiola Ademola	480,000,000	12.31%	480,000,000	12.31%
Nathaniel Durant	349,182,953	8.95%	349,182,953	8.95%
Total Substantial Shareholdings	2,529,182,953	64.85%	2,529,182,953	64.85%
Directors' Shareholdings (direct and indirect), excluding directors with substantial interests				
High Chief (Sir) Simeon O. Oguntimehin, OON	100,000.00	0.00%	100,000	0.00%
Akin Laoye	166,000,000	4.26%	166,000,000	4.26%
Otunba Wale Jubril	5,200,000	0.13%	5,200,000	0.13%
Total Directors' Shareholdings	171,300,000	4.39%	171,300,000	4.39%
Other Influential Shareholdings				
Kurious Co. Nig Ltd	99,000,000	2.5%	99,000,000	2.5%
Afolayan Samuel Olajide	55,058,968	1.4%	55,058,968	1.4%
Total Other Influential Shareholdings	154,058,968	4.0%	154,058,968	4.0%
Free Float in Units and Percentage	1,199,517,047	30.76%	1,199,517,047	30.76
Free Float in Value	₦8,636,522,738.40		₦6,957,198,872.6	
Declaration:				
(A) FTN Cocoa Processors Plc with a free float percentage of 30.76% as at June 30 2026, this is above the 20% free float percentage for companies listed on the Main Board.				
(B) FTN Cocoa Processors Plc with a free float value of ₦8,636,522,738.4 at a market value of ₦7.20 per share as at June 30 2026, is above the 20% free float value for companies listed on the Main Board.				

